



Fig. 3: Value chain for STBs

80 per cent come from South Korea and China.

While operators enjoy many advantages from these imports in terms of quality assurance due to the experience of the OEMs pushing STBs in the country, there are multiple limitations in importing these boxes:

1. A distant manufacturing base (from the customers) takes longer time to realise products
2. Force fitment of models to suit India requirements
3. Heavy transportation costs and long lead times

Besides these factors, a key point to note in the value chain shown in Fig. 3 is the impact of the macro-economic environment in promoting manufacturing. Until this year's budget there were no import duties on finished products/STBs. This situation did not motivate domestic manufacturing. In this year's budget, the government imposed a 5 per cent customs duty on imported boxes. While this is a blow to the operators who have been importing these boxes, it is a big relief to the Indian manufacturing industry. It pushes the operators to accept locally-manufactured STBs, which otherwise offered no advantages to them in the past.

If we calculate the loss to the exchequer in 2008 due to imports—import of 5 million sets at an average price of \$50—it amounts to \$250 mil-

lion. With imposition of the new customs duty, the government not only benefits economically but also helps the local manufacturing eco-system to grow.

While there is some relief from the government, there are still many hurdles to cross in realising a matured eco-system for STB manufacturing and deployment:

1. Although we have many contract manufacturers who can manufacture the boxes, we do not have OEMs like PACE, Thomson, Humax, Huawei and Coship that can be a single face for the operators
2. Majority of the Indian STB eco-system comprises only IDH manufacturers
3. High capital investment needed to support an OEM role
4. Little or no track record of local manufacturers against the proven track record of Korean and Chinese OEMs, as a result of which operators prefer imports
5. Non-availability of components

Players' support

Every player in the industry can contribute in supporting local manufacture of STBs.

Role of middleware and CAS vendors:

1. Local presence and support
2. Local customisation

Role of local EMS partners to gear up to be OEMs:

1. Brand creation as a product company
2. Increased knowhow of product creation cycle

Connections with eco-system partners

Role of government agencies:

1. Tax subsidies on local manufacturing
2. Increase customs duties on finished products

Role of operators:

1. Acceptability of Indian brands
2. Support and build up

at times and lack of competitive pricing

6. Lack of support from CAS vendors for local manufacturing

7. Lack of support from operators as local industry is still at a nascent stage

Government support

The increase in customs duty is expected to boost domestic manufacturing of STBs. However, the move will also increase the subsidies ranging from Rs 125 to Rs 250 per STB by digital pay TV operators. This will marginally impact their margins based on their ability to pass on the increase in cost.

Excise duty on STBs was exempted in 2003 to facilitate the introduction of CAS in the country. In the budget of 2006, the exemption on excise duty was withdrawn but customs duty was reduced from 15 per cent to zero. However, there was no corresponding reduction of customs duty on inputs used in the manufacturing of STBs.

In the budget of 2009, this anomaly has been corrected by increasing customs duty on the import of STBs from zero to 5 per cent and also allowing the import of inputs at 5 per cent. The decision will affect every new consumer as all players in the DTH market import STBs.

With this move, we need to watch how quickly the industry players pick up signals and join hands in developing the local eco-system. This calls for support from all players including operators, CAS vendors, component suppliers, logistics and support experts, trained and skilled staff, etc.

A crucial element to develop this industry is the entry of OEMs into the segment, which is missing entirely. OEMs in India will be the driving force towards taking big strides forward, taking all partners in the ecosystem along. ●

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